

The key differences between leaders and managers

What separates management from leadership?

The answer can make you a better boss

By [Steve Hogarty](#) June 28, 2022



The terms *leader* and *manager* are often used interchangeably, but while they both generally refer to “the person in charge,” there are a few major differences between the two.

A good manager can be a leader, but a true leader is someone who influences and guides the people who work for them without coercion or pressure. Managers might tend to focus on the details of day-to-day tasks, while leaders are big-picture visionaries capable of rallying teams around a vision.

In this article, we’ll take a closer look at the key differences between managers and leaders. We’ll also give an example of how the two roles compare in a hypothetical scenario. But first, let’s lay out exactly what we mean when we talk about these two terms.

Getting started with some definitions

- **What is a leader?**

A leader is someone who guides others toward a shared goal or unites them behind an idea or vision. Leaders don’t have to hold a specific title or be in a formally recognized position of leadership. They can be absolutely anyone, so long as their words and actions influence and direct the behaviors of people around them.

- **What is a manager?**

A manager is a type of role within a [traditional business hierarchy](#). They can be any person employed to control and supervise employees. Managers organize people to ensure that they’re working toward the

company's goals efficiently. They are responsible for much of the day-to-day running of the business—they can hire and fire staff, organize teams, and allocate resources.

Differences between a leader and a manager

Those two definitions might sound similar at first, but the key to understanding the differences between a leader and a manager is to remember that while somebody can be both, the idea of *leadership* extends way beyond the context of business.

Football teams have leaders, local communities have leaders, conga lines have leaders, and businesses have leaders. The confusion arises because leaders usually get a management title in a business setting, making it difficult to draw the line between managers and leaders. That is to say: All good managers are leaders, but not all good leaders are managers.

So what sets a leader apart from a manager? It largely comes down to the [leadership qualities](#) that leaders are able to demonstrate. Let's take a look at some of the most common traits of leaders versus managers.

Vision

The word *vision* has been defined as “something seen in the imagination” for a lot longer than the sense of sight. A [company's vision](#) isn't just a wish or a dream. It describes an actual future scenario, a snapshot of a potential world in which the company's goals and ambitions have been achieved.

A true leader sees this vision clearly and [effectively communicates](#) it to people who can't. Through their words and actions, they give the company's vision a coherent shape in the minds of employees. This helps strengthen team bonds and rally people behind a shared goal.

Character

Charisma is often said to be the most important leadership quality. That might be the case when running for office, but the ability to influence people using charm alone is just one component of a good leader's personality. Enthusiasm, honesty, confidence, bravery, and kindness are all important values found in a truly effective leader.

A manager can have a [magnetic personality](#), of course, but it's not an essential skill for the role. Managers are better described by the functions they perform and the knowledge they've attained.

Functions

There are four basic functions of management. These define the manager's general role within the business, though not necessarily the leader's.

- **Planning:** designing new objectives and goals
- **Organizing:** allocating resources and workloads
- **Controlling:** evaluating performance and making adjustments, including hiring new staff and dismissing employees
- **Directing:** motivating teams and issuing orders—this is the one function a manager shares with a leader and is typically where leadership qualities are best deployed

Authority

By definition, managers are given the power to exercise a degree of authority over others. They can enforce rules, [discipline staff](#), and direct the behavior of employees through formal processes.

Leaders can wield this power too, though truly effective leaders can use a softer kind of *informal* authority to shape the attitudes of the people around them. A good leader is respected and trusted by those around them to act fairly and always do the right thing, so they're able to convince teams to willingly and enthusiastically get behind their plans.

Qualities

The qualities of a leader are a subset of the qualities of a great manager. Both must have an unshakeable confidence in [the company's mission](#), the ability to plan ahead and predict outcomes, the intelligence to frame the company's goals in a wider context, and the decisiveness to make tough decisions when facing a challenge.

Example of management vs. leadership

Consider a car company with thousands of employees in hundreds of showrooms across the country. The company's vision—perhaps unsurprisingly—is to sell as many cars as it can while keeping customers happy.

Sales teams of 10 to 20 people work in each showroom under a local supervisor, who carefully [designs sales campaigns](#) for the quarter, sets new targets, evaluates staff performance, and decides which employees get transferred to busier showrooms to earn bigger commissions.

In this situation, each showroom supervisor is working in a management role, but that doesn't automatically mean that they are *also* a good leader. To be considered a true leader, the supervisor must demonstrate leadership qualities. They could inspire their salespeople to hit their targets using trust and support, and by communicating the company's particular vision of satisfied drivers buying up every last car in the lot.

In this scenario, a manager could become a leader by selling cars alongside their sales team. This is leading by example and demonstrates a set of ideal behaviours and attitudes.

SOURCE

Steve Hogarty is a writer and journalist based in London. He is the travel editor of City AM newspaper and the deputy editor of City AM Magazine, where his work focuses on technology, travel, and entertainment.

<https://www.wework.com/ideas/professional-development/management-leadership/the-key-differences-between-leaders-and-managers>